IAB Tech Lab launches a pilot programme for blockchain analysis

A new programme by the Interactive Advertising Bureau (IAB) Tech Lab will examine blockchain projects by its member organisations, and try to find out the real value of this technology for them.

It seems like every other day a new startup is claiming it can cure the woes of digital advertising with blockchain, but the technology does have its limitations. The pilot programme will look at blockchain based, advertising-targeted projects from the working group's 100+ member organisations. It will then write a white paper that attempts to point out the actual value blockchain brings to the industry, or throw shade on the hype surrounding its potential.

So far, projects have been identified from Kochava Labs, FusionSeven, MetaX and Lucidity. Each includes a variety of ad tech participants, including advertisers, agencies, DSPs, publishers and exchanges.

The Lucidity Layer 2 pilot, for instance, is looking to verify impressions and track the programmatic supply chain through a blockchain based decentralised shared ledger. The company is also planning other blockchain projects to tackle fee transparency, digital publisher signatures and audience verification.

The hype surrounding blockchain has obscured its key asset as a distributed and virtually immutable shared ledger. While it has other capabilities, the technology also has issues about processing speed, privacy between participants, and functions that might otherwise be handled with less expense or complexity through more conventional technologies.

Smart contracts and virtual currency, for instance, are consistently cited as unique aspects of blockchain based systems, but both could also be offered through conventional software. Startup WildFire, for instance, has launched a virtual-coin-based platform to support app discovery and engagement and it doesn't use blockchain.

The white paper will help to sift which blockchain based functions are clearly advantageous for digital advertising, which could hold promise, and which have not yet proven themselves.